

# RISK MANAGEMENT PLAN

ITRUSTU

YOUR CONFIDENCE, OUR COMMITMENT



# EXECUTIVE OVERVIEW

The COVID-19 pandemic introduces pressures our existing risk management plan must address, alongside ongoing cyber threats and economic uncertainty. Our plan helps us anticipate disruption, meet our obligations to stakeholders and direct resources to where they can reduce our exposure most.

Our Riskiness Index assesses exposure across four areas: Financial, Infrastructure, Reputation and Marketplace (FIRM). Our overall score is 55 out of 80. Marketplace carries the greatest exposure at 15, followed by Reputation at 14 and Infrastructure and Financial at 13 each. Key concerns include internal controls, reserve adequacy and IT resilience. Our market position and membership in Tiva may provide support, but available funding, financial capacity and parent-group assistance require confirmation.

Our Risk Agenda sets out how we will respond, prioritizing stable operations before further growth. We will focus resources on essential services, secure remote work and financial resilience, accepting carefully managed implementation risks within agreed limits. The crisis leadership team will coordinate this response through clear responsibilities, reporting procedures and weekly reviews during the first three months, adjusting priorities and resources as conditions change.

Our Risk Register develops these findings into 41 active risks, assessed as of April 1, 2020, using a likelihood horizon through June 30. A categorical matrix identifies 8 Extreme, 28 High and 5 Moderate inherent risks. After considering existing controls, our appetite and available evidence, 6 risks are provisionally tolerable, 24 are provisionally not tolerable and 11 require further financial assessment. The register records the assumptions and evidence gaps behind these conclusions, providing a basis for selecting responses and reviewing exposure as our understanding develops.

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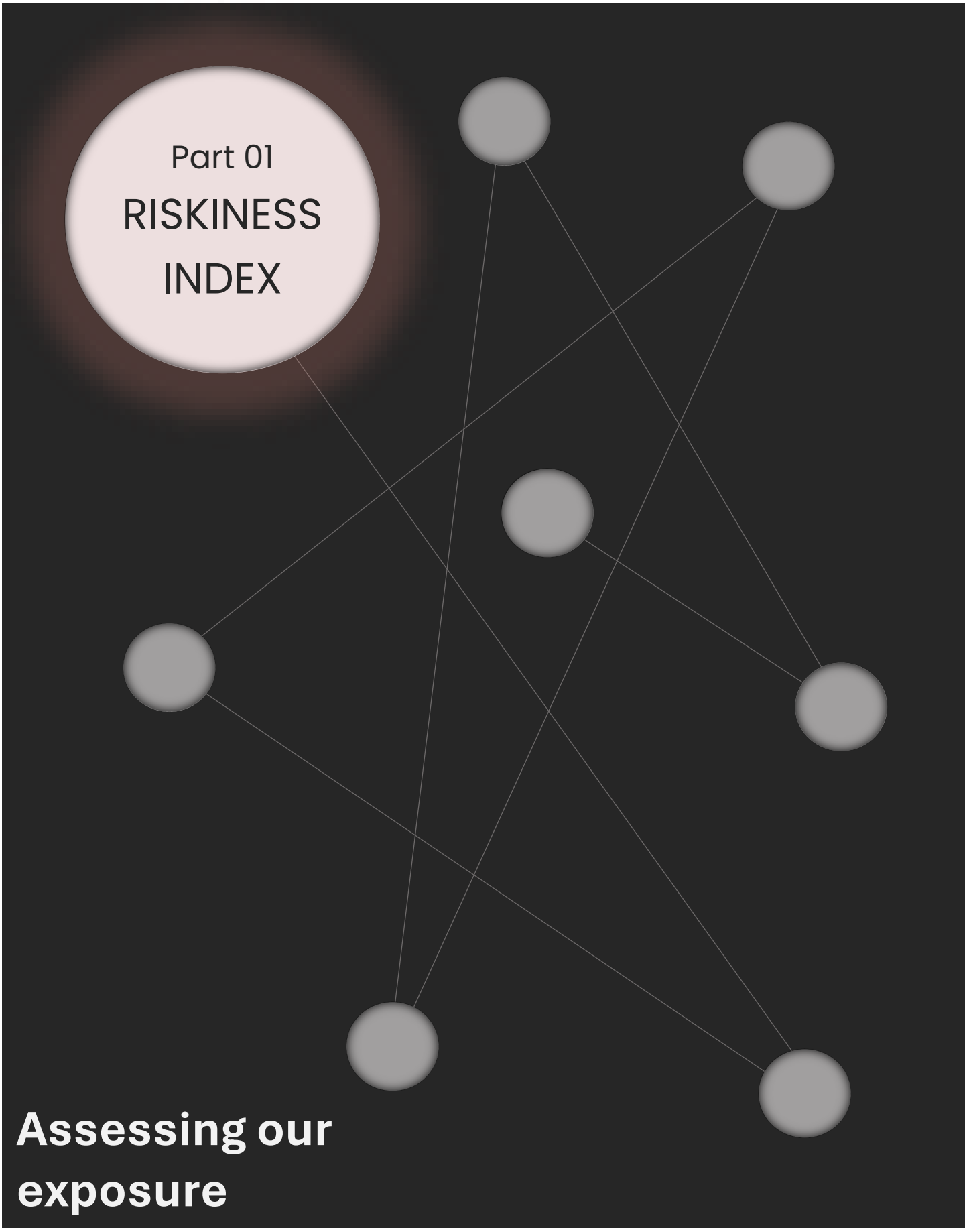
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Part 01

# RISKINESS INDEX



## Assessing our exposure

# BACKGROUND AND PURPOSE

ITrustU operates from Mississauga, Ontario, as part of the Tiva insurance group, providing insurance and pension products to individuals and small businesses. Our core operations include policy sales, premium collection, claims processing, customer account management, and the investment of premiums to support operating costs and claim payments. These activities depend on our employees, technology systems, and third-party service providers.

The COVID-19 pandemic has introduced challenges that our existing risk management plan did not anticipate. We must assess how changes in staff availability, working arrangements, customer needs, and economic conditions affect our ability to maintain operations and meet our obligations to policyholders. These pressures exist alongside ongoing threats such as cyberattacks, technology failures, and disruptions to third-party services.

Our plan focuses on four elements of the organization using the FIRM framework: Financial, Infrastructure, Reputation, and Marketplace. As the first stage of our pandemic risk management plan, this riskiness index assesses our current exposure within each element. The findings will help guide our immediate response, prioritize resources, and support the crisis leadership team being established to coordinate pandemic plan implementation.

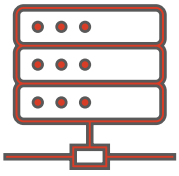





**FINANCIAL**



**INFRASTRUCTURE**



**REPUTATION**



**MARKETPLACE**



# FINANCIAL RISK

## FUNDING ALLOCATION

ItrustU belongs to Tiva, the sixth largest insurance group in the world. It collects premiums in advance from a very large customer base in Ontario that gives it a steady flow of investable funds. The pandemic creates some critical new funding needs: a crisis leadership team and a pandemic plan. Beyond that, there is a need to put measures in place to reduce exposure to various risks in the present and beyond. Premiums are invested in assets like Canadian stocks, bonds, real estate and precious metals to cover the cost of business and insurance claims. ItrustU also holds two kinds of liability: short-term Property & Casualty (P&C) claims like car, home, and travel, and long-term life and pension obligations.

Given our portfolio, there is a good chance that ItrustU would have liquidity problems as equities, real estate and precious metals are volatile assets and slow to sell. In times of crises, P&C claims need cash quickly to pay out to claimants. Stocks and precious metals can be sold quickly but the risk with them is being forced to sell at a loss during a downturn. To combat a worsening economy, it is reasonable to anticipate a cut in interest rates to drive investment, which could also affect longer product plans. Since every holding is Canadian, any regional or national dip will hit both assets and claims at the same time. There is a risk that bank partners could delay or not remit premiums altogether or reinsurers would not be in a position to pay recoveries and bond issuers may default on any dividends they expected to receive.

We are also concerned about where funds are dedicated. Cyber is listed as one of the main risks the company plans to mitigate against yet has no dedicated cyber-security staff. The current assessment is that resources appear disproportionately distributed to the risks that the company is concerned with. On paper, the company, in its current position and standing, will be able to treat most financial vulnerabilities in a pandemic economy, depending critically on how quickly they can move their assets.

## INTERNAL CONTROLS

ItrustU currently collects all premiums, processes claims and quotes through their website, mobile app and internal systems. As a result, they are susceptible to a litany of cyberattacks that can have significant financial implications: direct theft through fraudulent claims payouts and payroll diversion; ransomware and recovery costs; data loss and its legal costs; regulatory penalties; a tech outage would stop premiums collection and claims payment at the same time. Six people currently cover IT and networking for 50 desktops, on-site servers and the internal network. Hosting, backups and security advice are outsourced. A six-person team likely cannot provide round-the-clock monitoring. Control therefore depends on vendors the company does not directly manage. The switch to remote work during a pandemic increases the likelihood of vulnerability and decreases the strength of defending it.

# LIABILITY MANAGEMENT

ItrustU writes both P&C and life/pension products. In the industry, reserves are typically the largest liability on the balance sheet. With one in three Ontario households insured, adverse weather conditions like ice storms or floods will affect a large share of the clients at once. In July 2013, Ontario recorded a record rainfall that insurers coughed up $940m to reimburse—making it the most expensive insured natural disaster in Ontario's history. Given the liquidity issues mentioned above, any reserve or float they're required to have may not be able to cover paying out large claims. Travel, medical, and cancellation claims are all going to rise at the same time. Falling interest rates will also increase the value of pension and annuity obligations while reducing investment income; any increase in the value of pension will apply both to the company's product and its own employees. The key for financial risk management here is to weigh the costs and benefits of liquidation of certain assets for immediate relief (even at a loss) to sustain the company independent of the health of the parent company or government intervention. Survival strategies may include taking on further liabilities to identify and create pathways for stable cash flow amid rising claims.

*Finance Riskiness Index*

| CODE | DESCRIPTION | SCORE |
|---|---|---|
| 1.1 | Lack of availability (or unacceptable cost) of adequate investment funds | 2 |
| 1.2 | Inadequate procedures for allocation of funds to available opportunities | 3 |
| 1.3 | Poor internal financial controls to prevent fraud and control credit risks | 4 |
| 1.4 | Insufficient reserves for existing and historical liabilities (including pensions) | 4 |
| | **TOTAL FOR FINANCE COMPONENT** | **13** |

# INFRASTRUCTURE RISK

## PEOPLE SKILLS

The onset of the COVID-19 pandemic is changing our employees' working routines and creating a need to adapt to remote working arrangements. Without an established plan for working from home, staff productivity may decline, reduced in-person interaction may create communication difficulties, and employees may struggle to resolve problems or access company resources. Illness and isolation may also reduce staff availability, while specialized roles in IT, claims processing, and customer support can be difficult to replace on short notice.

To reduce this risk, we should establish clear remote-work procedures as part of our pandemic response. These procedures should include appropriate tools, training, and secure access to company resources so that employees can continue performing their responsibilities effectively.

## INADEQUATE EQUIPMENT

Pandemic-related restrictions may limit access to our buildings and equipment, creating challenges for employees whose work normally depends on office-based resources. Our current equipment includes approximately 50 desktop computers and only a few laptops, which will limit our ability to support widespread remote work. Providing suitable, company-managed equipment and secure access to our systems is therefore an immediate consideration. Our premises and on-site servers also require continued maintenance while access may be restricted.

To manage this exposure, we should assess employees' equipment needs, prioritize essential roles, and establish procedures for distributing and supporting remote-work equipment. We should also arrange for essential maintenance and authorized access to our premises and servers during restrictions.

## IT RESILIENCE

The transition to remote work increases our dependence on reliable technology and secure access to company resources. Without adequate safeguards, such as a VPN, secure file sharing, access controls, data loss prevention measures, and employee training, we may face greater exposure to cyber threats, data loss, and reputational damage. We should verify whether existing safeguards can support the scale and demands of remote work.

Our technology infrastructure includes on-site servers, an internal network, and an internet connection through an external provider. These dependencies may create service bottlenecks or points of failure as more employees connect remotely. A prolonged loss of IT or network services could severely disrupt claims processing, premium collection, and customer support.

IT resilience is the highest-rated risk within this infrastructure assessment. We should prioritize secure remote access, test system capacity and recovery arrangements, develop reliable and iterative auditing protocols, and ensure employees understand and follow security procedures.

# PRODUCT AVAILABILITY

Our ability to provide insurance products and related services depends on functioning software, hardware, and communication systems. When a failure occurs, employees need to coordinate service restoration and investigate its cause. Remote working arrangements may make this coordination more difficult, particularly if key staff are unavailable or cannot access on-site equipment.

We also depend on third-party providers, including our internet service provider, cloud provider, security consultants, and mailing, printing, and shredding services. These organizations may face their own staffing shortages, operating restrictions, and financial pressures during the pandemic. This could result in delayed service schedules, reduced capacity, or temporary or permanent business closures. For example, disruption to our shredding provider could delay the secure disposal of confidential records, requiring us to arrange secure temporary storage and find an alternative vendor. We should assess critical suppliers' ability to maintain services and identify suitable replacements in case existing providers can no longer meet our needs.

Our product mix may shift as travel restrictions reduce new travel insurance sales and changes in vehicle use affect automobile coverage needs. Enquiries about life insurance, home coverage, and pension plans may increase, although greater interest does not necessarily translate into additional sales. We should monitor new business, renewals, cancellations, and policy adjustments to identify changes in revenue and product concentration.

This assessment rates product availability risk as medium. Our service-based business model reduces our dependence on physical inventory, while cloud backup offers some protection against data loss. However, neither ensures uninterrupted service. We should establish crisis management and disaster recovery procedures suited to remote work and maintain reliable communication channels for coordinating our response.

*INFRASTRUCTURE RISKINESS INDEX*

| CODE | DESCRIPTION | SCORE |
|---|---|---|
| 2.1 | Availability or cost of people skills, competencies and experience | 4 |
| 2.2 | Inadequate premises, plant and equipment to support operations | 1 |
| 2.3 | Processes, including IT infrastructure, have insufficient resilience | 5 |
| 2.4 | Product availability inadequate, including supplier unreliability | 3 |
| | **TOTAL FOR INFRASTRUCTURE COMPONENT** | **13** |

# REPUTATION RISK

## PUBLIC PERCEPTION AND THE ITRUSTU BRAND

The initial phase of the pandemic is critical to our reputation. We may need to manage an increase in claims for certain products while transitioning employees to remote work. Travel insurance is a particularly sensitive area, as widespread travel cancellations could generate increased claims, enquiries, and disputes over coverage. With just over 50 employees, we may struggle to manage this sudden workload. Delayed responses and unclear explanations could damage customer trust.

Economic uncertainty and job losses may also place our customers under financial pressure. Some may seek to reduce their coverage, defer premium payments, or access retirement savings where permitted. We should provide clear information about available options and their consequences. Insensitive communication or inconsistent treatment could harm our reputation during a period when customers are already vulnerable.

## ETHICAL AND CORPORATE RESPONSIBILITY

Misinformation surrounding the pandemic may create confusion about insurance coverage and our response to changing conditions. We should provide accurate, consistent information about policy terms, exclusions, and any changes to our services. Unclear or misleading statements could undermine trust and prevent customers from making informed decisions.

We also have a responsibility to consider employee well-being as working arrangements change. Moving suitable roles to remote work may help reduce exposure to illness, but the sudden transition may contribute to stress, isolation, and difficulties balancing work and personal responsibilities. We should assess the need for additional mental health support, regular check-ins, and flexible working arrangements. Insufficient support could affect employee well-being and confidence in our leadership.

## REGULATION AND COMPLIANCE

The pandemic places additional pressure on our ability to meet compliance expectations while maintaining essential services. Increased workloads and staff absences may contribute to processing errors, delayed claims handling, and incomplete records. We should monitor these pressures and ensure that changes to our working arrangements continue to support our obligations.

Our equipment includes approximately 50 desktop computers and only a few laptops, meaning that our existing arrangements primarily support office-based work. A rapid transition to remote work may increase the risk of unauthorized access, inappropriate information sharing, or exposure of customer data if suitable safeguards are not in place. We should verify that remote access, company devices, and cloud services adequately protect confidential information. Failures in these areas could attract regulatory scrutiny and damage customer confidence.

# PRODUCT QUALITY AND SALES SERVICE

The pandemic may change customer demand across our insurance and pension products. Reduced travel and vehicle use could lead customers to question their existing coverage or request adjustments. At the same time, concerns about health, household finances, and retirement savings may increase enquiries about life insurance, home coverage, and pension plans. We should be prepared to explain available options and maintain consistent service as customer needs change.

Staff shortages and remote working arrangements may affect our ability to provide timely advice, process policy changes, and resolve claims. Supply chain disruptions and labour shortages may also delay repairs or replacement services associated with home and vehicle claims. These delays could affect customers' experience even when the underlying disruption occurs outside our organization.

We should communicate expected service timelines clearly, explain relevant coverage limits, and provide updates when delays occur. Failure to manage these expectations could lead customers to view our products and after-sales service as unreliable.

*REPUTATION RISKINESS INDEX*

| CODE | DESCRIPTION | SCORE |
|---|---|---|
| 3.1 | Poor public perception of the industry and/or organization brands | 4 |
| 3.2 | Insufficient attention to ethics and corporate social responsibility | 3 |
| 3.3 | High regulator involvement and compliance expectations | 3 |
| 3.4 | Concerns over product quality and/or after sales service | 4 |
| | **TOTAL FOR REPUTATION COMPONENT** | **14** |

# MARKETPLACE RISK

## REVENUE AND INVESTMENTS

The onset of the pandemic places pressure on both our premium revenue and investment returns. Economic uncertainty may reduce customers' ability to purchase or maintain coverage, while travel restrictions could sharply reduce demand for new travel insurance policies. Reduced vehicle use may also lead customers to request premium adjustments or explore less expensive coverage.

Our small business clients may face reduced revenue, temporary closures, and difficulty meeting ongoing expenses. These pressures could lead to requests for premium deferrals, coverage reductions, or cancellations. Business owners may also experience a loss of household income that affects their personal insurance and retirement contributions.

Our investment portfolio includes Canadian stocks and bonds, real estate, and precious metals. Market volatility could reduce asset values, while lower interest rates may reduce the income available from new fixed-income investments. These conditions could affect our ability to generate sufficient returns to support operating costs and insurance obligations. Our investment portfolio also requires review as market conditions change. Lower investment income and potential liquidity needs may affect how we allocate funds. Any proposed adjustments should be assessed against our claims obligations, liquidity requirements, and risk appetite, with the detailed analysis addressed in the financial component.

We assess this risk as high. While our range of products provides some diversification, we cannot determine how much protection our reserves provide.

## COMPETITION AND CHANGING TECHNOLOGY

The pandemic increases the importance of accessible digital services as customers and employees reduce in-person interactions. Customers may favour insurers that offer convenient online purchasing, policy changes, claims submission, and support. Competitors able to adapt quickly could attract customers who experience delays or limited service through our channels. Reduced vehicle use may also increase interest in flexible pricing and usage-based insurance. We should assess whether our products and systems can respond to these changing expectations.

Our website and mobile application provide an existing digital presence. However, our reliance on approximately 50 desktop computers, only a few laptops, and on-site systems may constrain employees' ability to support these channels remotely. Having customer-facing technology does not necessarily mean that our underlying processes can accommodate increased online demand.

Given that the high speed of change may exceed our current capacity to adapt. Our existing digital channels provide a foundation, but we must assess their functionality, capacity, and integration with remote working arrangements.

## ECONOMIC HEALTH AND POLITICAL STABILITY

The pandemic threatens Canadian economic activity through business restrictions, employment disruption, and reduced consumer spending. These conditions may affect customers' ability to pay premiums, increase requests for payment flexibility, and reduce demand for new policies. Our concentration in Ontario and investments in Canadian assets expose us to related pressures across our customer base and investment portfolio.

Canada's established political institutions provide a measure of stability. Government support may also help households and businesses maintain income and meet financial obligations, although its reach and effectiveness remain uncertain at this stage. However, given the global nature of our parent organization, sovereign economic health could severely impact its operational functionality.

We assign significant economic uncertainty alongside a comparatively stable political environment. This rating requires ongoing review as the duration of restrictions, employment conditions, global response, and effectiveness of support measures become clearer.

## SUPPLY CHAINS AND MATERIAL COSTS

Although we do not manufacture physical goods, we depend on external service providers and the availability of materials and labour needed to settle certain claims. Pandemic disruption may therefore affect both our operating capacity and claims costs.

Given the identified risks that exist for our third-party vendors, such as staffing shortages, reduced capacity, or business closures, that may occur at the same time that our reliance on their services continues, disruption could interrupt customer service, delay policy administration, or require us to secure alternative vendors at additional cost.

Property and vehicle claims may also depend on repair services, inspections, replacement parts, and construction materials. Restrictions and shortages could delay settlements or increase costs beyond the assumptions used when policies were priced.

These disruptions may affect several dependencies simultaneously. Alternative providers may be available, but replacement arrangements can take time, and widespread shortages may limit our options.

*MARKETPLACE RISKINESS INDEX*

| CODE | DESCRIPTION | SCORE |
|---|---|---|
| 4.1 | Insufficient revenue generation or inadequate return on investment | 4 |
| 4.2 | Competitive marketplace and/or rapidly changing product technology | 4 |
| 4.3 | Poor sovereign economic health and/or lack of economic or political stability | 3 |
| 4.4 | Complex supply chain and/or unpredictable raw materials costs | 4 |
| | **TOTAL FOR MARKETPLACE COMPONENT** | **15** |

# OVERALL RISK ASSESSMENT

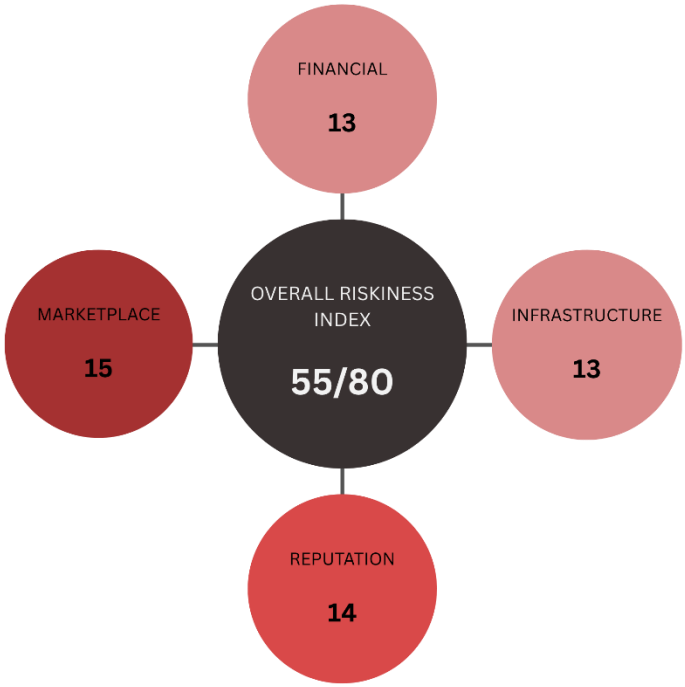


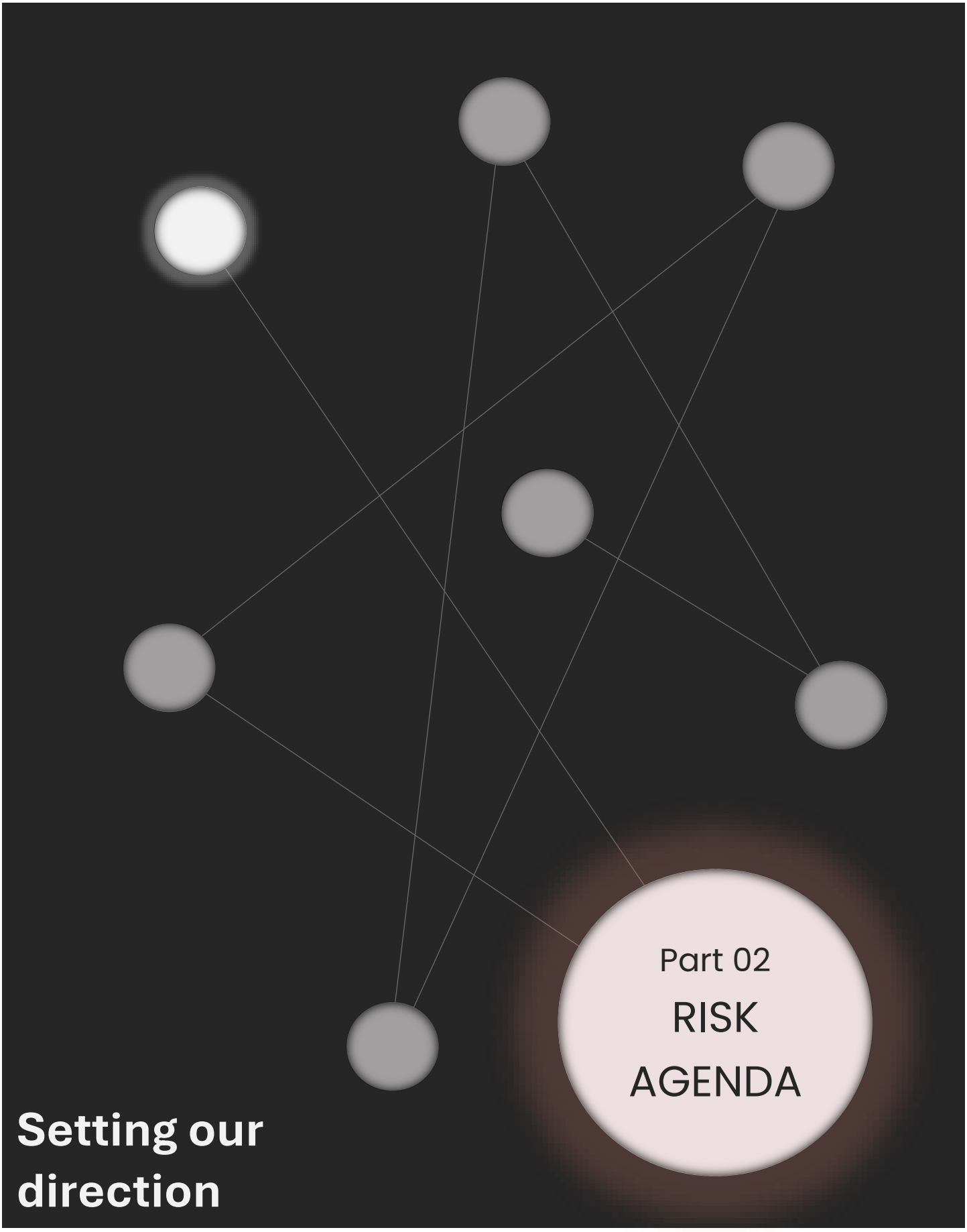

*Figure 1 - Riskiness Index Scores*

Our riskiness index totals 55 out of a possible 80, comprising Financial risk at 13/20, Infrastructure at 13/20, Reputation at 14/20, and Marketplace at 15/20. This indicates substantial exposure across the four components, with many individual risks rated medium or high. Marketplace has the highest component score, reflecting pressure on revenue, changing customer expectations, digital competition, and supplier disruption. IT resilience receives the highest individual rating at 5/5 and requires immediate attention.

These risks are closely connected. Technology failures, cyber incidents, staff shortages, or vendor disruption could interrupt claims processing and premium collection while compromising customer information and trust. At the same time, investment volatility, reduced premium income, and claims obligations may place pressure on liquidity and reserves. Delayed service or unclear coverage explanations could further damage our reputation and customer retention.

Our priorities should therefore be to strengthen secure remote working and internal controls, assess liquidity and reserve adequacy, support essential staff, and confirm continuity arrangements with critical suppliers. Clear customer communication and adaptation to changing demand are also necessary. Targeted investment in people, systems, and vendor oversight should guide the next stage of our pandemic risk management plan, with scores reviewed as conditions and available information change.






# Setting our direction

# RISK MANAGEMENT CONTEXT

ITrustU is a multi-product insurance company operating in Ontario, Canada, with just over 50 employees across different functions. We are part of the Tiva insurance group and provide insurance and pension products to individuals and small businesses. Membership in Tiva may provide access to additional expertise or resources, although the availability of that support requires confirmation. Our small workforce supports a substantial customer base, and our operations depend on technology and third-party services. Our operations include policy sales, premium collection, claims processing, customer account management, and investment of premiums to support operating costs and policyholder obligations.

The onset of the COVID-19 pandemic introduces pressures that our existing risk management plan did not anticipate. After completing the Riskiness Index for our company across four different segments (Financial, Infrastructure, Reputation, Marketplace), our index stands at 55 out of 80. Among these four segments, our Marketplace and Reputation risks score the highest, with indices of 15 and 14, followed by Infrastructure and Financial risks, which each score 13 out of 20. These results indicate substantial exposure across all four segments. IT resilience is our highest-rated individual risk at 5/5, despite Infrastructure having a lower overall total. Investment volatility, changing premium income, and claims obligations may also place pressure on liquidity and reserves. Considering the size of our company and our customer base, we should invest in mitigating risk and preparing for foreseeable disruptions.

We have several federal and provincial requirements that apply to our company across different segments. Failure to satisfy applicable regulatory standards may affect our reputation and marketplace position and expose us to regulatory action. These requirements include PIPEDA (Personal Information Protection and Electronic Documents Act; Government of Canada, 2000), Ontario insurance requirements overseen by the Financial Services Regulatory Authority of Ontario (FSRA, n.d.), and applicable anti-money-laundering obligations for our life-insurance activities overseen by FINTRAC (Financial Transactions and Reports Analysis Centre of Canada, n.d.). OSFI (Office of the Superintendent of Financial Institutions, n.d.) supervises federally regulated insurers; its applicability to ITrustU requires confirmation. These bodies have different responsibilities, so we need to identify the requirements relevant to our activities and maintain compliance as work arrangements change.

Our reliance on office-based equipment and on-site servers may limit remote access, while external providers may experience staffing shortages, delayed services, or business closures. With remote staff and a small team covering claims and IT, we could struggle to maintain essential services and effective oversight. Preparing in advance for this pivot will help. For example, staff training, secure access to company resources, and well-kept documentation could support continuity and compliance as working arrangements change. These pressures may occur together, disrupting claims processing and premium collection while affecting customer information and trust.

Overall, by updating our existing risk management plan, we can better understand our weak points and areas of exposure. Having a plan to mitigate these risks can improve our ability to respond and recover if disruptions occur, while reducing their likelihood or consequences where possible. This context guides the strategy, risk appetite, resources, and protocols developed in the following Risk Agenda sections.

# RISK STRATEGY

## PURPOSE AND OBJECTIVES

Our risk management strategy is to stabilize essential operations during the COVID-19 pandemic while protecting our employees, customer information, and ability to meet policyholder obligations. Our priorities are to maintain claims processing, premium collection, and customer support, with the financial resources and technology needed to keep these services running.

Growth initiatives will be postponed until our routine operations have been reorganized and stabilized. We will continue to consider investments needed to support these operations, including digital improvements that may also support future growth.

## OVERALL APPROACH

We will take a proactive and coordinated approach, using the Riskiness Index to guide further assessment and decisions about resources. The timing of our response will depend on the urgency of each issue, its potential consequences, and whether other changes need to happen first. The first three months will focus on immediate needs, including workforce adjustments. Longer-term improvements may extend beyond this period, and changes that work well may become part of our ongoing practices.

Operational changes will be assessed, tested, and introduced in manageable stages. Increased use of cloud services may help employees work remotely and improve our ability to maintain services. Before making these changes, we need to consider security, costs, staff training, possible service disruption, and our reliance on external providers.

We are willing to accept some carefully managed risks when changes help us maintain essential services. These may include additional costs, time for employees to learn new systems, and limited temporary disruption. We will use controls and oversight to limit risks to employee well-being, customer information, service continuity, and our financial position.

We will avoid growth initiatives that take resources away from stabilizing operations. Changes that exceed our agreed risk limits will require further assessment and approval before proceeding. The Risk Attitude and Appetite section will define these limits.

## STRATEGIC PRIORITIES

The findings of our Riskiness Index point to several priorities: secure and reliable systems, stronger financial controls, adequate liquidity and reserves, staff and supplier availability, clear customer communication, and the ability to respond to changing demand.

We also need to consider how these risks affect one another. An IT failure or supplier disruption could affect revenue, claims processing, customer information, and trust at the same time. Our priorities will therefore reflect both the index scores and the urgency and wider effects of each risk.

## INTEGRATION INTO BUSINESS DECISIONS

Risk management will inform our strategy, tactics, operations, and compliance (STOC). At the strategic level, decisions about digital investment and future growth will consider what we need to maintain services and what we can afford. Tactical decisions, such as changes to remote work or suppliers, will be assessed before they are introduced. In daily operations, risk information will help us manage staffing, claims workloads, and customer service. Compliance requirements will guide how we handle information, maintain records, and meet our obligations to policyholders.

The Risk Resources section will identify what we need to support these priorities. The Risk Protocols section will explain how we assess, manage, document, and report risks. Together, these sections will help us make decisions that support our objectives and remain within our agreed limits.

## LEADERSHIP AND ORGANIZATIONAL COMMITMENT

Executive management will support the strategy and establish a crisis leadership team with representatives from the relevant business functions. This team will coordinate our pandemic response and approve urgent operational changes within agreed spending, resource, and risk limits. Decisions outside its authority will be referred to executive management

Functional managers will remain responsible for risks in their areas and for identifying how their decisions may affect other departments. We will consider support from Tiva and outside specialists where additional resources or expertise would help. However, we need to confirm that this support is available and understand its terms before relying on it. Outsourcing work does not remove our responsibility for managing the associated risks.

## INTENDED OUTCOMES AND REVIEW

We want our response to result in reliable services, secure remote work, manageable workloads, stronger controls, and more informed use of resources. We can assess progress by monitoring system availability, claims waiting to be processed, staffing in essential roles, secure remote access, available funds to meet obligations, and whether controls work as intended. The supporting Risk Agenda sections will establish our starting position, measurable targets, who reports the results, and how often they are reviewed.

The crisis leadership team will review progress regularly and after significant incidents or changes in conditions. Executive management will consider resuming growth when services are stable, staffing is adequate, controls are working, and our financial position can support it. Temporary arrangements that prove effective will be considered for ongoing use.

# RISK ATTITUDE & APPETITE

Our primary goal is to stabilize essential operations during a critical global pandemic. We need to adapt to rapidly changing customer demand and a highly volatile market while maintaining coordinated and secure company operations as we shift to a remote workflow. We are prepared to accept carefully managed additional costs as we provide staff training to meet changing needs while limiting temporary disruptions to customer service.

Service quality may decline because of increased workloads and supply chain disruptions. Staff will need time to adapt to working from home, set up systems to the required standards, and complete necessary training. These disruptions could affect our company's reputation. Support from Tiva may help recovery, but its availability remains to be confirmed. Temporary service delays may be tolerated within approved limits.

Risks of confidential data leaks and system damage should be minimized. Security should be the priority when choosing remote-work procedures. Such incidents could have a much greater impact on our organizational reputation and finances than a slight decline in service quality. Our organization must maintain a low tolerance for gaps in essential roles. We should prioritize retaining and supporting existing employees while remaining prepared to recruit and train replacements where necessary.

Financial risk should remain within our ability to absorb losses while continuing to pay claims and fund essential operations. Our financial risk appetite depends on the assets available to absorb losses, any confirmed government funding, and the financial and technical support we can confirm with Tiva. A volatile market may require us to sell investments to meet immediate cash needs, potentially sacrificing long-term returns or realizing losses.

## RISK BENCHMARK TESTS

To apply our risk appetite in practice, we need specific thresholds for the risks or negative effects we can tolerate before management attention is required. While we can tolerate minor declines in service quality, we should aim to minimize them to preserve our company's reputation and maintain our market position. We should monitor the number and age of delayed claims, customer response times, and the duration of online service interruptions. Approved limits should specify acceptable delays and maximum outages for critical services. Establishing these limits requires information about normal processing times, claims volumes, staff capacity, service obligations, and available workarounds. Management should be alerted when a limit is likely to be exceeded, particularly where delays could seriously affect customers.

We should closely monitor any additional operating costs related to the pandemic. Management should be alerted when forecasts indicate that available cash may fall below the approved level needed to pay claims and maintain essential operations, or when proposed asset sales exceed approved plans or authority.

Management should be alerted when staffing in essential roles falls below agreed minimum levels or when an anticipated gap could disrupt service quality. We should closely monitor staff availability, and the resources employees need to work from home. Infrastructure concerns should be escalated when backups or recovery tests fail, critical systems become unavailable, or services may not be restored within approved recovery limits.

# ROLE OF TOP MANAGEMENT

Top management should establish and approve our risk appetite, risk limits, and decision-making authority before serious problems arise. It should clarify which actions the crisis leadership team can take independently, including reallocating staff, activating continuity arrangements, and approving spending within an agreed budget. Decisions exceeding these limits should require further approval.

Top management should not make decisions in isolation. It should consider recommendations from the crisis leadership team alongside input from claims, finance, IT, human resources, and relevant risk and compliance staff. When weighing options, management should consider the impact on customers, costs, operational feasibility, and the risks that remain after protective measures are introduced.

Management should receive regular updates on service performance, staffing coverage, financial forecasts, and security incidents. Serious incidents and anticipated breaches of approved limits should be escalated promptly. Reporting procedures should align with the Risk Protocols and Risk Resources sections and identify who must be notified, who has authority to act, and which spending or resource commitments require approval.

Finally, to management should ensure that approved responses receive adequate resources, assign responsibility for corrective actions, and monitor their effectiveness. It should confirm what support Tiva can provide and periodically review risk limits as circumstances change. Decisions and any approved exceptions should be documented to maintain clear accountability throughout the crisis.



# RISK RESOURCES

Our greatest exposures are in IT and internal controls, with lesser but still significant exposures in capital and human resources. One main reason is that our resources are not proportionally allocated to these areas. We serve a large share of the Ontario market with a small workforce. No one on our staff has risk management as their main responsibility. Because the pandemic changes our risk profile quickly, it is imperative that we identify the resources we can dedicate to risk management so that we can respond as conditions change.

## ALLOCATION APPROACH

The resources available for risk management are finite. We will therefore allocate resources to each risk according to its significance in the Riskiness Index, its urgency, and its potential effects on other areas of the organization. The highest-rated risks will generally receive resources first. However, a lower-rated risk may also need immediate resources to protect customers or support essential operations. Each allocation will weigh the expected reduction of risk alongside the cost of controls.

Our main sources of support are our parent group Tiva, our own people, and third-party specialists. Internal and group resources are preferred prior to paying for external services, where they have the capacity and expertise. This approach should control costs and keep knowledge of our risks inside the organization as much as possible. Risk management will require a budget, equipment, training, and management time. A dedicated budget for risk management makes clear the intention to allocate resources to reduce our exposure by funding the controls that give the largest reduction for the lowest cost. It should also cover the equipment and systems that let staff work securely, the training that prepares staff for new responsibilities and procedures, and the management time that risk ownership will require.

Some losses may be too large or too sudden for us to absorb alone. Insurance and reinsurance transfer the financial result of these losses to other parties. As an insurer, we face the possibility that a single event can affect many of our policy holders at the same time. Reinsurance is our main protection against a sudden dramatic increase in claims. We should therefore review the insurance that protects our own operations. We cannot or should not transfer or control every risk. The risk management budget pays to prevent losses but our reserves, liquidity, and access to credit pay for the losses that we accept; and because liquidity is a concern, we should only accept the risks they can absorb.

Industry associations and other insurers will face many of the same risks that we will. When they share information, they can give early warnings of emerging threats, fraud patterns, and changes in claims trends. They can also provide benchmarks we can compare our performance against. Participation in industry networks is therefore critical to extending our knowledge of risk beyond what our own data can show and to supplementing our assessment.

## SUPPORT FROM TIVA

Being a part of Tiva gives us access to specialist knowledge and expertise, and a broader range of support options. During crisis conditions and economic downturn, an independent review of our internal controls is vital. Tiva's guidance may help give our stakeholders greater confidence. Tiva may also assist with the management of our investments, liquidity, and reserves, to strengthen our financial position. However, Tiva may be limited in the support it can provide when we need it most, since it also faces pressure from the pandemic. For this reason, we should formally agree on the scope, timing, and cost of support. We should not assume that support will be available on demand.

## OUR PEOPLE

It may not be possible to create a separate risk management department during the pandemic. Our immediate priority is to stabilize essential operations and make effective use of available resources. Risk management will therefore become a shared responsibility among existing staff, with additional support considerations where necessary.

Our pandemic crisis leadership team will be the main forum for risk decisions. It includes representatives from executive leadership and each functional area. An executive director will sponsor risk management at the senior level and will present risk information to the leadership team. Each manager will own the risks associated with the processes they manage. Their understanding of these processes places them in the best position to identify changes and respond to them. One member of the leadership team will coordinate risk activities across the organization and maintain the risk record, prepare reports, and help managers assess their risks. All employees will be responsible for following agreed procedures and reporting incidents.

## THIRD-PARTY SPECIALISTS

We acknowledge that some risks may require expertise that is beyond the capacity of our team. In areas like security and employee health, third-party contractors can provide a level of service that we cannot generate internally. We already outsource several functions, including hosting, data backup, security advice, and legal services. We should continue to outsource areas where specialists can perform the work or help manage the risk more effectively and practically, taking cost and service continuity into account. Outsourcing does not automatically transfer the associated risk or our accountability. Our customers and regulators will hold us responsible for any failure, whether the cause is internal or external, and we hold ourselves to the same standard. Each outsourced service should therefore have a representative that monitors and reports its performance. This way we can examine the reliability of each supplier and identify the best solutions for services that are most critical during this time and in the future.

We already work with external parties who may have knowledge or risk, such as our brokers, banks, and building societies. Leveraging these relationships is key to adding to our risk resources at little additional cost, as well as using their advice, information, and assurance to maintain the quality of our services. For example, our brokers are in direct contact with many of our customers which means they can identify changes in customer needs and concerns early and inform us before misalignment escalate.

## GOVERNMENT AND PUBLIC RESOURCES

Public health guidance informs our decisions about working arrangements and employee safety. Emergency services and utility providers support our recovery after weather disasters or sudden power loss. We do not control these resources but depend on them. We should therefore include them in our planning as a source of support and work with relevant authorities to maintain stability in these areas.

# RISK PROTOCOLS

## PURPOSE AND SCOPE

Our protocols put our risk strategy and appetite into practice. They explain how we identify, assess, manage, record, report and review risks across all departments, including remote work and activities supported by third-party providers.

These protocols will remain clear and practical, supporting essential services, employee safety, customer information and our continuing obligations. Functional managers remain responsible for their risks, while the crisis leadership team coordinates decisions within approved limits.

## RANGE OF PROTOCOLS

The following protocols address the exposures identified in the Riskiness Index. Essential safeguards begin immediately; fuller procedures and testing will be developed during the first three months according to urgency, dependencies and available resources.

| PROTOCOL | WHAT IT ADDRESSES | TIMING |
|---|---|---|
| Risk assessment standard | Identification, assessment, prioritization and review of risks | Immediate |
| Remote access and secure working standard | Secure access, suitable equipment and staff readiness | Immediate |
| Information security and data handling procedure | Access controls, confidential information and incident response | Immediate |
| Incident reporting and escalation procedure | Reporting routes, urgent action and approval limits | Immediate |
| Health, safety and wellbeing procedure | Employee safety, workload and public health guidance | Immediate |
| Business continuity and recovery standard | Loss of systems, network, power, premises or essential staff | Develop/test within three months |
| Third-party management procedure | Supplier performance, continuity, replacement and accountability | Develop within three months |
| Service continuity and claims handling | Claims delays, customer response and communication | Develop within three months |
| Financial control and liquidity procedure | Internal controls, cash forecasts and reserve monitoring | Develop within three months |
| Operational change procedure | Assessment, testing, approval and review of proposed changes | Immediate |

* ***Interim controls begin immediately while the full procedures are developed.***

Each protocol will name an accountable owner, required actions and records. Where standards from Tiva are available and suitable, the owner may adapt them after confirming support arrangements and checking applicable federal and provincial requirements

## HOW RISK ASSESSMENTS WILL BE DONE

The Riskiness Index is our starting point. Managers will use its findings to identify exposures within their own processes and assess what action is needed. The index guides further assessment; it does not automatically determine the order of work.

Managers will identify new or changing risks through discussions with staff, incident and near-miss records, service and claims reports, financial forecasts, supplier updates and control tests. With support from the risk coordinator, each assessment will describe the risk, its causes, the services and people affected, existing controls and any gaps in the information available.

Priorities will reflect the relevant Riskiness Index score, urgency, potential consequences, and effects on other departments. A lower-scored exposure may require immediate attention if it threatens customer information, employee safety, an obligation or an essential service. Managers will also consider whether one action must be completed before another and whether a shared dependency could disrupt several services at once.

For each proposed response, the owner will compare the expected reduction in exposure with the cost and resources required. This includes equipment, staff and management time, training, specialist support, implementation disruption and recurring provider costs. The assessment will consider practical alternatives and the risks that remain after each option. Necessary safeguards will not be rejected solely because their benefits cannot be expressed as immediate financial savings.

The crisis leadership team will use these assessments to agree priorities and allocate resources within its authority. Decisions outside approved risk, spending or resource limits will go to executive management. Where evidence is incomplete, the owner will record what must be confirmed and identify any interim protection needed. Assessments will be updated after significant incidents, proposed changes, supplier disruption, failed tests or anticipated breaches of limits.

## HOW RISKS WILL BE MANAGED

Risk management means turning the assessment into an agreed action. The owner will recommend whether to introduce or strengthen controls, change or postpone an activity, arrange appropriate insurance or reinsurance, or retain the remaining risk within approved limits. More than one response may be needed. For example, secure remote work may require equipment, access controls, staff training and additional technical support together.

Each agreed response will have an action owner, required resources, a completion date and a way to check whether it works. The crisis leadership team will coordinate actions affecting several departments and resolve competing resource needs. Functional managers will remain responsible for implementation and for reporting obstacles or changes in exposure.

Outsourcing does not automatically transfer risk or accountability. Any insurance, reinsurance or contractual protection must be checked for its scope and limitations. Acceptance of remaining risk must consider our appetite, obligations, service needs and ability to absorb losses. A low index score or a low-cost response does not, in itself, justify accepting a risk. Controls will be tested before the team treats the expected reduction in exposure as achieved.

## HOW RISKS WILL BE RECORDED

The risk record will be our central record. Each entry will identify the risk and relevant Riskiness Index reference, affected functions, risk owner, existing controls, priority and reasons for it, agreed response, resource needs, action owner, completion date and review date. It will also record remaining exposure against our approved limits, supporting evidence and any information still needed. Proposed controls will be distinguished from controls already operating and tested.

The risk coordinator will maintain the record with managers responsible for the accuracy and timeliness of their entries. We will also record incidents, decisions, approvals and exceptions, including their reasons. Records will be available to authorized staff, protected according to their sensitivity and retained in line with applicable requirements.

## WEEKLY SCRUM CYCLE DURING THE FIRST THREE MONTHS

During the first three months, the crisis leadership team will use a Scrum approach with one-week sprint cycles to coordinate risk response work. The risk coordinator will organize the cycle and maintain a prioritized backlog of actions linked to the risk record. The record recounts our exposure and decisions; the backlog tracks the work needed to address them. The crisis leadership team will agree on priorities, while assigned staff carry out the actions.

Each sprint will begin with an agreed goal and actions selected by urgency, expected risk reduction, dependencies and capacity. Actions will have owners and completion criteria, supported by brief daily check-ins on progress and obstacles. End-of-week reviews will focus on completed work, test results, changing risks and unresolved issues to guide priorities and resource allocation within approved limits. A brief retrospective will identify improvements to working practices, and the coordinator will update the record, backlog and decision records.

Urgent incidents and anticipated breaches will receive immediate attention, with changes recorded and approved as required. After three months, management will review the weekly cycle against service stability, remaining risks and staff capacity.

## HOW RISKS WILL BE REPORTED AND ESCALATED

Employees will report new risks, incidents, near misses and anticipated breaches to their functional manager. Managers will notify the risk coordinator and provide updates for the weekly review. The coordinator will consolidate reports for the crisis leadership team, and the executive sponsor will ensure that executive management receives significant findings and decisions requiring its approval. Consolidated reporting will be weekly during the initial three months. Any later reduction in frequency requires management approval; critical conditions remain subject to ongoing monitoring and immediate escalation.

For suspected data leaks, serious system damage or other urgent incidents, staff will immediately contact the designated response lead and their manager, using an alternate contact if either is unavailable. The reporting procedure will name these contacts; urgent action must not wait for routine reporting or a complete investigation. The coordinator will record the issue and ensure the crisis leadership team is informed.

The team may reallocate staff, activate continuity arrangements and approve changes within delegated limits. Requests exceeding risk, spending or resource limits, including asset sales outside approved plans, will be referred promptly to executive management.

# HOW OPERATIONAL CHANGES WILL BE CONTROLLED

Changes to remote access, cloud services, recovery arrangements, suppliers or customer communications will follow a consistent process. The level of assessment and testing will reflect the potential consequences of the change, while maintaining the agreed approval requirements.

### Describe and assess the change

The proposing manager will explain the purpose, affected services and departments, expected benefits, resource needs and implementation risks. The assessment will consider information security, employee readiness, continuity, supplier dependence, recurring costs and applicable obligations. Relevant functions will contribute before a decision is made.

### Plan and test

The owner will identify the controls, training, communications and support needed. Changes will be tested on a manageable scale before wider use where practical. IT changes will include appropriate access, capacity and recovery checks. Supplier changes will include continuity and handover checks, and customer messages will be checked for accuracy, consistency and approval. A fallback or rollback plan will be documented where relevant.

### Approve

The change register will include the assessment, test evidence, remaining risks and resource requirements. Changes within delegated authority will be approved by the designated manager or crisis leadership team. Changes outside approved limits will require further assessment and executive approval before proceeding.

### Implement and monitor

Approved changes will be introduced in manageable stages, with named responsibility for monitoring and responding to problems. Staff and affected parties will receive the information they need. Urgent changes will still require an authorized decision, documented risks and appropriate safeguards; any deferred testing will be recorded and completed promptly.

### Review the outcome

The owner will check whether the change achieves its purpose, whether controls work and whether new risks or service problems have emerged. Findings and corrective actions will be recorded in the record and sprint backlog. Significant problems will be escalated immediately rather than waiting for the next sprint review.

# REVIEW AND ASSURANCE

The crisis leadership team will review progress through the weekly sprint cycle and after serious incidents, failed tests or significant changes in operating conditions. Protocols will also be reviewed at the end of the first three months. Recovery and control tests will follow an agreed schedule based on criticality and will be repeated after material changes where needed.

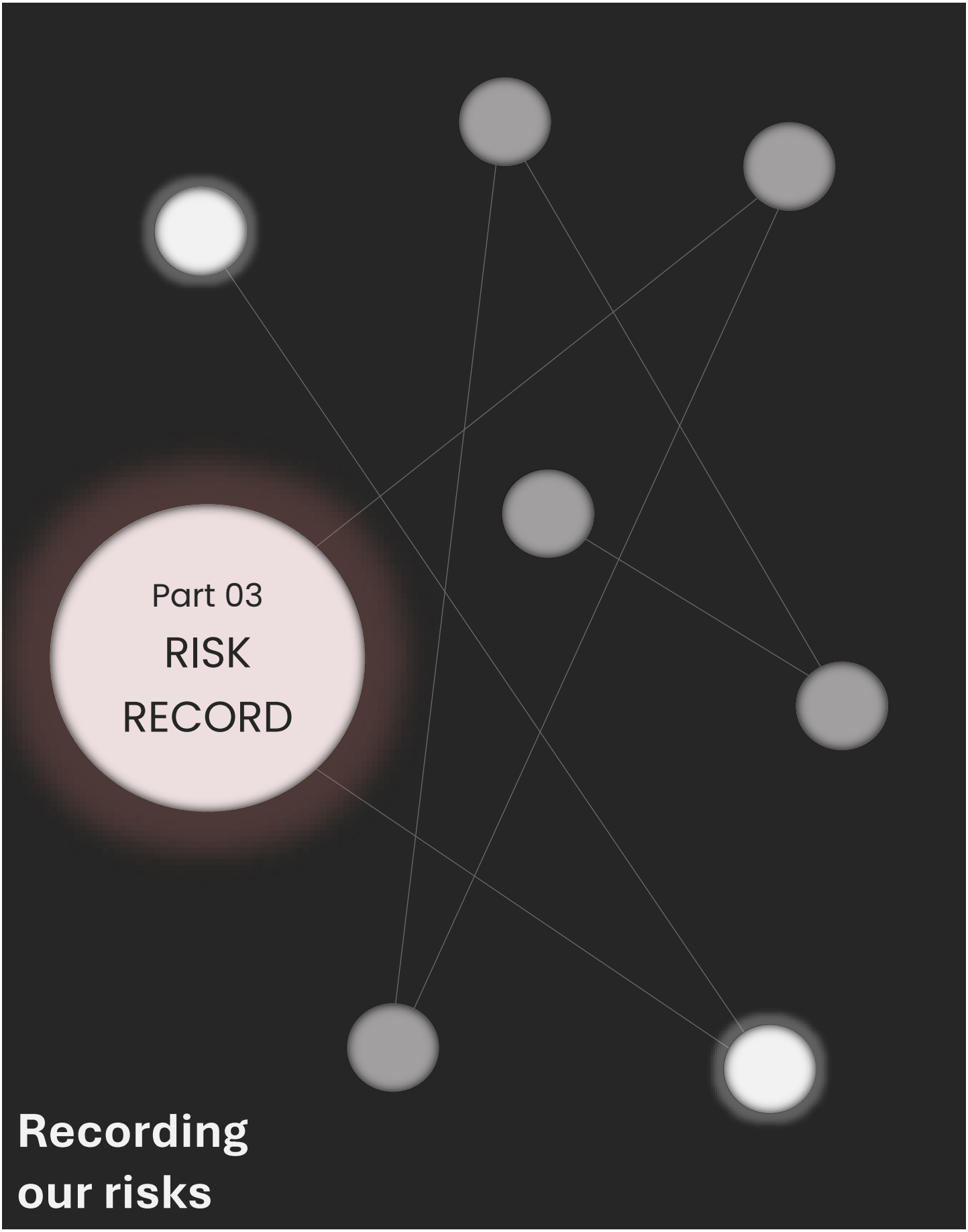
Failed tests will be recorded, assessed and assigned corrective actions, with immediate escalation where continuity or approved limits are threatened. Independent review of internal controls may draw on Tiva or specialist support once its availability, scope and terms are confirmed. Review findings will be tracked until corrective actions have been verified. Temporary arrangements that work well will be considered for ongoing use.

# MEASURES AND EVIDENCE

The following measures will show whether our response is improving continuity and control. Departmental owners will provide evidence to the risk coordinator for weekly reporting. Finance will agree financial definitions and limits with those responsible for Risk Resources. Critical conditions will be monitored between reports, with immediate escalation when an approved limit is threatened.

| MEASURE | DEFINITION AND EVIDENCE | OWNER | BASELINE OR TARGET |
|---|---|---|---|
| Service availability | % of required hours available; outage duration and impact. Monitoring and incident logs. | IT | Required hours, current availability, outage and recovery limits. |
| Claims and response times | Outstanding claims by number and age; enquiry response times. Claims and service records. | Claims & customer support | Normal volumes, processing times, capacity and service obligations to set delay limits. |
| Secure remote access | % of remote staff with approved equipment, access and training. Access, equipment and training records. | IT and managers | Eligible staff and current compliance; security checks before access. |
| Essential-role coverage | Roles with trained, available backups; coverage gaps. Staffing and training records. | Managers and HR | Essential roles, available backups and minimum coverage. |
| Liquidity | Forecast cash against claims and essential payments. Cash-flow forecasts and financial records. | Finance | Cash balances, forecast assumptions, commitments and minimum cash levels. |
| Pandemic costs | Actual and committed spending against budget, including recurring costs. Budget and invoice records. | Finance and resource owners | Budgets, spending authority and forecast overruns. |
| Control and recovery tests | Pass/fail results and unresolved actions by age. Control, backup and recovery test records. | IT and control owners | Current results, test frequency, pass criteria and recovery limits; escalate critical failures. |
| Supplier continuity | Service failures, disruptions and replacement readiness. Supplier reports, contracts and logs. | Supplier owners | Critical services, service levels, current performance and viable alternatives. |

At the first sprint planning session, each owner will identify available baseline information and assign any missing data collection. Proposed targets, monitoring frequency and escalation thresholds will be submitted to management for approval. Interim safeguards will remain in place while evidence is gathered. Performance targets will track improvement; approved limits will determine when management attention or approval is required.




# Recording our risks

# RISK REGISTER DATABASE AND REFERENCE CONTROL

## RISK REGISTER DATABASE

We maintain the risk register in Excel as a structured collection of risk records. Each significant risk will have a permanent Record ID. At this stage, the register will bring together each risk's description, potential impact, likelihood, magnitude, tolerability and existing controls. Consistent fields and coding rules will support reliable searches, comparisons and reporting.

This structure allows us to filter and compare risks by FIRM area, source, owner, inherent rating, tolerability and record status. The Overview summarizes our exposure, while the Record View presents the details of an individual risk. Together, these views help the crisis leadership team identify concentrations of risk, recognize control gaps and identify assessments requiring further information. The workbook holds the current assessment. Previous versions and separately maintained change records will preserve the reasons for changes and show how our understanding of each risk develops.

As the plan progresses, we will link these records to risk consequence evaluations, response actions, reviews and incidents using the permanent Record ID. These additions will support weekly sprint reviews, progress monitoring and the identification of overdue actions. The database's value depends on accurate entries, clear ownership and regular updates. We will establish validation checks, appropriate access and version controls, and backup arrangements to maintain reliable records. Excel will provide a practical starting point, with the structure designed to support a future move to a dedicated database if needed.

ACCESS the ITrustU RISK REGISTER

## RISK CODE OVERVIEW

A Risk Code is a short reference for one risk record in the register. Each risk in the register has two references. The Record ID is a permanent link to the risk. The Risk Code shows the FIRM item and the primary cause of the risk, so readers can identify the risk type quickly in records, reports, and discussions. Functional managers propose codes for risks in their areas, and the Risk Coordinator approves them.

## HOW TO READ RISK CODES

The first columns in the Risk Register can be interpreted as follows:

| RECORD ID | RISK CODE |
|---|---|
| R-005 | F3-C-01 |

Each entry shows the Record ID first. The Record ID identifies the entry and never changes. The code can change if we reclassify and move a risk, for example, if the risk moves to a different Index Item. Links in the backlog, change register, and incident log therefore use the Record ID, so each link points to the correct risk even after reclassification.

Each Risk Code has four parts (Figure 2), read from left to right or from the most general to the most specific. The topic is one of the four FIRM areas: **F (Financial)**, **I (Infrastructure)**, **R (Reputation)**, or **M (Marketplace)**. The number is the index number of the subtopic within that area. For example, F3 refers to item 1.3. Internal Controls and Credit in the Riskiness Index. Source is the primary cause of the risk and reads as follows:

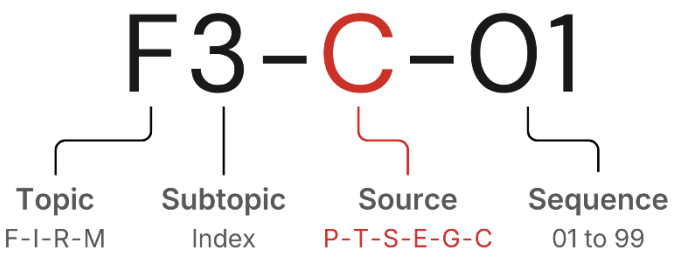



*Figure 2 - Reference Structure*

| CODE | SOURCE | USE WHEN THE MAIN CAUSE INVOLVES… |
|---|---|---|
| P | People | Staffing shortages, unavailable expertise, inadequate training or unintentional human error. |
| T | Technology | System failures, inadequate capacity, software weaknesses or technical security gaps. |
| S | Suppliers and third parties | Failure or disruption in a service or obligation provided by an external organization. |
| E | External conditions | Economic changes, public health restrictions, natural events or changes in customer demand. |
| G | Governance and processes | Missing or ineffective procedures, unclear responsibilities, weak oversight or inadequate approval arrangements. |
| C | Conduct | Deliberate misconduct, fraud, unethical behaviour or intentional disregard of procedures. |

Sequence is the order of entry within that item and source. For example, F3-S-01, F3-S-02, and F3-S-03 are three supplier risks under item 1.3. F3-T-01 therefore reads as Financial, Internal Controls and Credit, Technology, first risk. Risk Codes do not measure or rank the risk. The numbers show the item in the index and the order of entry, not severity. The order of the letters in the F-I-R-M acronym are not a ranking. The source letter shows the primary cause of a risk, not the department responsible for managing it.

## HOW TO ASSIGN CODES

New risks will emerge as the pandemic continues. Each new risk receives references under the existing risk reference standard [Record ID] ([Risk Code]), for example R-005 (F3-T-01). Functional managers know their processes best, so they classify risks in their areas. The Risk Coordinator approves each classification, so the same rules apply across all functions.

When a manager identifies a new risk, they:

1. Select the FIRM topic and the Index Item to which that risk belongs.
2. Select the most appropriate source letter (see below).
3. Submit the proposed classification, the risk description and the reasons to the Risk Coordinator.

The coordinator will then:

1. Check whether the risk is already recorded to avoid creating a duplicate entry.
2. Give each new risk the next unused Record ID and add it to the register. Identify any proposed classification as provisional until the review is complete.
3. Check the proposed classification against the standard and against similar risks in the register.
4. Approve the classification or return it to the manager with reasons.
5. Give the approved risk the next unused sequence number within its item and source to complete its Risk Code.
6. Update the register with the agreed classification and record the reviewer, approval date and decision separately under the Risk Protocols. “Current classification” identifies the classification in use; it does not confirm formal approval.

If a risk is urgent, it should be recorded and escalated immediately using its permanent Record ID. Response actions must not wait for classification approval. The classification remains Provisional until the coordinator completes the review. If the code is wrong, a later correction does not break any links, because supporting documents link to the Record ID.

## HOW TO SELECT A SOURCE

Many risks have more than one source, but the code has space for only one source letter. Managers are encouraged to code the cause, not the effect. To find the cause, ask what condition or failure could cause the risk to occur, using the available evidence. For example, remote work that exposes customer data, R-033 (R3-T-01), uses T if the primary cause is an insecure remote-access system. If the main cause is inadequate training or failure to follow procedures, a different source may be more appropriate. A compliance consequence does not, by itself, determine the source. A six-person IT team that cannot monitor systems at all hours, R-023 (I3-P-01), is an IT concern with a staffing cause, so the code uses P.

If the test still gives two answers, managers should select the source that most directly contributes to the risk and explain their reasoning, noting the other sources in the risk description. Where the primary cause remains uncertain, the classification should remain Provisional until the Risk Coordinator reviews the available evidence.

## HOW TO HANDLE CHANGES

Our understanding of some risks will change during the response. If a manager finds that a risk has the wrong item or source, the manager should propose a new classification to the Risk Coordinator. If approved, the risk should receive a new code with the next unused sequence number in its new position, but its Record ID does not change. The coordinator records the old code, the new code, the date, and the reason in a Change Register, along with the Record ID, the person making the change and the person approving itThe reviewer and approval date should be recorded in the separate Change Register under the Risk Protocols, while the risk register is updated to show the current classification.

When a risk no longer applies and is retired, its references stay in the record history. The coordinator records its status as Retired and the retirement date, rather than deleting the entry. We never reuse that Record ID or Risk Code or any previous codes assigned to the risk, to ensure that historical documents remain accurate.

Where risks are consolidated, the original entries remain in the register with a status of Consolidated and references to the continuing records. They are excluded from active risk totals. Consolidation does not mean that the underlying risk has been resolved, and the original Record IDs and Risk Codes are not reused.

# NATURE OF RISK

Our Riskiness Index identifies the broad areas where ITrustU is exposed. The risk register develops these findings into specific events that could affect our operations and our ability to meet policyholder obligations. It contains 41 active risks across Financial, Infrastructure, Reputation and Marketplace. Three additional records remain in the register as consolidated entries, preserving their references without counting the same exposure twice.

## HOW WE DESCRIBE RISK

Each entry distinguishes the cause of a risk, the event that could occur and its potential impact. This helps us understand what requires attention and where a response may be effective. A weakness in a procedure, for example, is a possible cause. The risk event describes what could happen because of that weakness, while the impact explains what this would mean for our organization.

R-025 illustrates this distinction:

| ELEMENT | DESCRIPTION |
|---|---|
| Cause | Recovery procedures are inadequate or insufficiently tested. |
| Risk event | Essential systems and services cannot be restored within the required timeframe. |
| Potential impact | Claims processing, premium collection and customer support remain disrupted, placing pressure on our finances and customer trust. |

Each record also identifies the affected objective or dependency and the primary source of the risk. We classify the source according to the cause, rather than the department responsible or the consequence that follows. Where several causes contribute, the record explains the main cause and identifies other relevant factors.

## MAIN EXPOSURES ACROSS FIRM

The pandemic creates new pressures while increasing our exposure to existing risks. Changes in working arrangements, customer needs and economic conditions affect several parts of our organization at the same time.

| AREA | NATURE OF OUR MAIN EXPOSURES |
|---|---|
| Financial | Funding shortages, weaknesses in internal controls, investment losses and pressure on our ability to pay claims and meet longer-term obligations. |
| Infrastructure | Staff and equipment shortages, technology failures, delayed recovery and disruption to essential suppliers or support. |
| Reputation | Customer information exposure, inaccurate communication, service failures, inappropriate treatment and failures to meet obligations. |
| Marketplace | Changing customer needs, reduced affordability and demand, competitive pressure and difficulties meeting customers' service expectations. |

## CONNECTIONS BETWEEN RISKS

These risks do not occur in isolation. A technology failure may interrupt claims processing and premium collection while also affecting customer trust. We therefore consider related exposures together and avoid counting the same consequences more than once.

However, similar impacts do not always mean that two records describe the same risk. R-028 concerns increased claims and enquiries overwhelming our available capacity, even when planned staffing is in place. R-035 concerns staff shortages disrupting customer service at normal demand. Both may cause delays, but their causes differ and may require different responses.

The register preserves these distinctions so that our assessments and resource decisions address the conditions behind each risk. As our understanding changes, we will review the descriptions, supporting evidence and relationships between records through our established review process.



# POTENTIAL IMPACT

Assessing potential impact helps us understand how each risk could affect our objectives and our ability to meet policyholder obligations. We consider both the likelihood of the event occurring and the magnitude of its consequences. These assessments give us a consistent basis for comparing exposures and identifying where further attention is needed.

Each risk receives a likelihood score and a magnitude score from 1 to 5. These numbers represent defined categories. We use their position in our risk matrix to assign an overall rating of Low, Moderate, High or Extreme. We do not multiply the scores.

## ASSESSING LIKELIHOOD

Our initial assessment is made as of April 1, 2020. Likelihood describes the estimated probability that the defined risk event will occur at least once between April 1 and June 30, 2020. This aligns with the first three months of our pandemic response.

| SCORE | LIKELIHOOD | ESTIMATED PROBABILITY IN THE THREE-MONTH PERIOD |
|---|---|---|
| **1** | Rare | Less than 5% |
| **2** | Unlikely | 5% to less than 20% |
| **3** | Possible | 20% to less than 50% |
| **4** | Likely | 50% to less than 80% |
| **5** | Almost certain | 80% or greater |

The score applies to the event described in the record. For example, inadequate recovery procedures do not necessarily mean that a prolonged service interruption will occur. We must consider the likelihood that a disruption occurs and that recovery takes longer than required during the assessment period.

These probability bands guide our judgment. They are not measured forecasts unless supporting data is available. Each record explains the reasoning behind its score and identifies relevant assumptions or missing information. Where evidence is limited, the assessment remains provisional.

## ASSESSING MAGNITUDE

Magnitude describes how serious the consequences could be if the event occurs. We consider financial losses, service disruption, employee wellbeing, customer information, policyholder obligations and customer trust. The score reflects the highest credible consequence across these areas, supported by the scenario described in the record.

| SCORE | MAGNITUDE | MEANING |
|---|---|---|
| **1** | Insignificant | Minor effects handled through routine work, with negligible financial loss or disruption and no meaningful customer harm. |
| **2** | Minor | Limited loss, disruption or complaints managed by the affected team without materially affecting essential services or obligations. |
| **3** | Moderate | Noticeable impacts require coordination and some resource reallocation. Essential obligations remain achievable. |
| **4** | Major | Substantial losses, prolonged disruption, serious information exposure or damage to confidence threaten essential obligations and require significant management intervention. |
| **5** | Severe | Consequences threaten organizational viability or sustained essential services or cause widespread serious customer harm. |

Although likelihood uses a three-month period, we consider the full consequences of an event occurring within that period. A customer information breach, for example, may occur during the initial response but continue to affect customers, costs and trust well beyond June.

We use qualitative magnitude definitions because the available information does not support consistent financial thresholds. Where losses, reserves or operating capacity are unknown, the register identifies the evidence needed to strengthen the assessment.

## USING THE RISK MATRIX

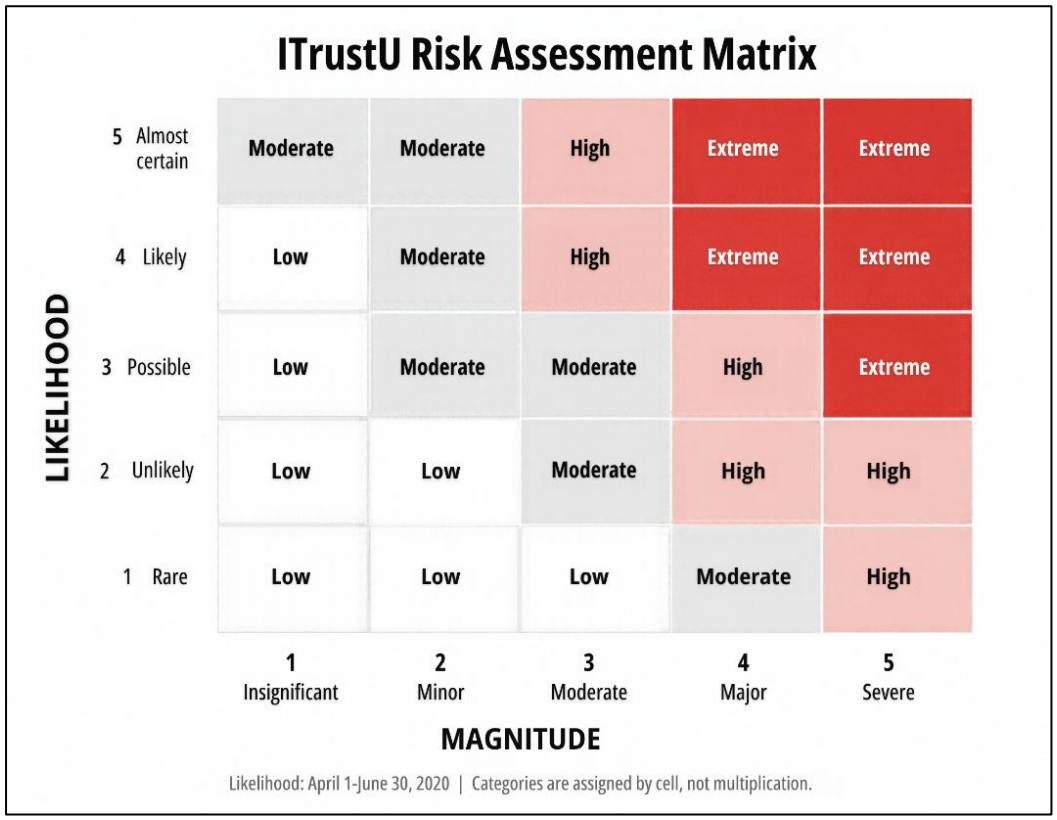



*Figure 3 ITrustU's categorical risk assessment matrix. Select the likelihood row and magnitude column to identify the rating.*

The matrix combines likelihood and magnitude into an inherent risk rating. Inherent risk describes our exposure before giving credit for the reduction that existing controls may provide. Controls and their effectiveness are considered separately when assessing tolerability.

For example, R-025 concerns essential services taking longer than required to recover. Its likelihood of **3 — Possible** and magnitude of **4 — Major** place it in the **High** category. R-033 concerns widespread exposure of sensitive customer information. Its likelihood of **3 — Possible** and magnitude of **5 — Severe** place it in the **Extreme** category.

The matrix preserves the distinction between frequent events with limited consequences and less frequent events with serious consequences. A Severe event remains High even when assessed as Rare, while an Almost certain event with Insignificant consequences is Moderate.

| RATING | MEANING |
|---|---|
| Low | Relatively limited inherent exposure under the defined scenario. Relevant obligations and controls still require consideration. |
| Moderate | Meaningful exposure that needs review alongside available controls, capacity and related risks. |
| High | Significant inherent exposure that warrants focused management attention and examination of control effectiveness. |
| Extreme | The highest category in our matrix requiring priority management review of the exposure and available safeguards. |

These ratings inform our priorities but do not determine whether a risk is acceptable. A Low rating does not automatically justify acceptance, and a High or Extreme rating does not automatically make a risk intolerable, because neither rating accounts for the exposure remaining after controls Those decisions are addressed in the tolerability assessment.

## INTERPRETING AND REVIEWING THE RESULTS

Our initial register contains **8 Extreme, 28 High and 5 Moderate active risks**. No active risks currently fall within the Low category. The three consolidated records are excluded from these totals.

These counts describe the distribution of inherent exposure. They are not a combined risk score or a prediction of total loss. Several records may be affected by the same event, while financial pressures such as reduced premium income, increased claims and investment losses may occur together.

We will review the assessments through our weekly response cycle and after significant incidents or changes in conditions. New evidence may change the likelihood, magnitude or understanding of the scenario. Later information will be recorded through dated reviews so that the basis of each assessment remains clear.

# TOLERABILITY OF EVENTS

Our tolerability assessment considers whether we can accept the level of risk while continuing to meet our objectives and obligations. The inherent rating helps identify the significance of an exposure, but it does not make this decision for us. We must also consider existing controls, their effectiveness, our ability to influence the risk and the importance of the activity to our operations.

As an insurer, accepting risk is part of our business. However, we have a low tolerance for exposures that threaten claims payments, essential services, employee wellbeing or customer information. We are prepared to accept carefully managed costs and limited disruption where these support the changes needed to maintain operations.

## HOW WE ASSESS TOLERABILITY

| CONSIDERATION | QUESTION GUIDING THE ASSESSMENT |
|---|---|
| Risk appetite and obligations | Does the exposure fit our agreed limits while allowing us to meet policyholders and other obligations? |
| Existing controls | What controls are operating, and what evidence supports their effectiveness? |
| Financial and operational capacity | Can we absorb potential losses or disruption, including several risks occurring together? |
| Controllability | How much can we influence the likelihood or consequences through our own actions or arrangements with others? |
| Business imperative | Why must the activity continue, and are there practical alternatives that would reduce exposure? |
| Evidence and uncertainty | Is there enough information to support a decision, and which assumptions require confirmation? |

The need to continue an activity does not, by itself, make its risks tolerable. Claims processing, for example, must continue, but this does not justify accepting inadequate information protection or payment controls. Similarly, an external risk is not automatically tolerable because we cannot prevent its cause. We may still be able to reduce its consequences through financial capacity, continuity arrangements or alternative suppliers.

## TOLERABILITY OUTCOMES

The register uses three outcomes to distinguish exposures we can conditionally accept, those requiring further treatment and those where a decision cannot yet be supported.

Our conclusions remain provisional where they depend on assumptions or unverified controls. The register distinguishes confirmed arrangements from assumed controls and proposed improvements. The existence of a supplier, procedure or backup does not establish that it will work as required, and planned improvements are not treated as controls already operating.

| OUTCOME | ACTIVE RISKS | BASIS OF THE ASSESSMENT |
|---|---|---|
| Tolerable | 6 | Exposure can be accepted within our appetite, subject to the controls, capacity and conditions stated in the record. |
| Not tolerable | 24 | The assessed exposure exceeds our appetite or threatens essential obligations under the stated conditions. Further treatment and management attention are required. |
| Awaiting assessment | 11 | Material information is missing, preventing a defensible decision. This status does not mean that exposure is accepted. |
| **TOTAL** | **41** | **Consolidated records are excluded from active totals.** |

These outcomes match the Tolerability field in our risk register. Tolerable and Not tolerable conclusions remain provisional where they depend on assumptions or unverified controls. Each record identifies the conditions and evidence supporting its assessment.

The six provisionally tolerable risks include limited maintenance delays, customer losses arising from affordability or competition, unavailable nonfinancial support from Tiva, and manageable repair delays. Acceptance depends on specific conditions. For example, unavailable Tiva support is tolerable only if internal staff or alternative specialists can sustain essential work within acceptable time and cost.

The 24 provisionally not tolerable risks include material weaknesses affecting staffing, technology, recovery, oversight, customer treatment and information protection. For staffing risks, the concern is not every absence. It is an absence that leaves essential work without adequate coverage.

The remaining 11 risks require financial evidence, including cash-flow forecasts, reserve adequacy, investment exposure, funding alternatives and applicable reinsurance protection. We should not assume that sufficient capacity exists simply because ITrustU is an established insurer. We must also consider combined pressures. Reduced premium income, increased claims and investment losses may be manageable individually but exceed our capacity when they occur together.

## REVIEW AND ESCALATION

A finding of ‘Not tolerable’ requires management attention and further treatment. It does not automatically mean that all related operations stop. Where essential work must continue temporarily, the decision requires appropriate authorization, interim safeguards and review in line with our Risk Protocols.

The crisis leadership team will review tolerability during the weekly response cycle and when incidents, failed controls or changing conditions affect an assessment. Decisions beyond its delegated authority will be escalated to executive management. Conditional acceptance will be reconsidered where its assumptions no longer hold, while outstanding evidence needs will remain visible until a supported decision can be made.

# EXISTING CONTROLS

Existing controls are the arrangements already in place to reduce the likelihood of a risk occurring or limit its consequences. Our register identifies these controls and considers whether they provide sufficient protection as working conditions change during the pandemic.

## IDENTIFYING OUR CONTROLS

The available information confirms several arrangements that support our operations, including record keeping, database administration, cloud backup and external hosting. We also have relationships with security consultants and legal service providers. These arrangements may contribute to risk management, but their presence alone does not establish that they are effective.

Other controls, such as financial modelling, access restrictions and staff continuity arrangements, require confirmation of their scope or implementation. The register distinguishes the evidence supporting each assessment.

| EVIDENCE POSITION | HOW IT IS TREATED |
|---|---|
| Confirmed arrangement | The available information establishes that the arrangement exists. Its suitability and effectiveness still require assessment. |
| Reported or assumed control | The assessment identifies the assumption and the evidence needed to confirm that the control operates as described. |
| Undocumented control | The available information does not establish whether a suitable control exists. This is recorded as an evidence gap, rather than proof that no control is present. |
| Proposed improvement | The measure is not counted as existing protection until it is implemented and its operation is verified. |

## ASSESSING EFFECTIVENESS AND EFFICIENCY

An effective control addresses the cause or consequences of the risk and works under the conditions in which we need it. A control designed for office-based work may provide insufficient protection when employees work remotely. Similarly, cloud backup may support recovery, but we must confirm that the data is complete, accessible and recoverable within the required timeframe.

We also consider whether a control uses our limited resources efficiently. Its cost, staffing demands and effect on essential services should be reasonable in relation to the protection it provides. However, low cost does not justify a control that fails to protect customer information or meet our obligations.

| CONSIDERATION | WHAT WE NEED TO ESTABLISH |
|---|---|
| Suitability | The control addresses the relevant risk and remains appropriate during remote work and pandemic disruption. |
| Operation | The control is implemented, assigned to a responsible person and used consistently. |
| Effectiveness | Tests, monitoring or other evidence show that it provides the intended protection. |
| Efficiency | The protection provided is proportionate to the money, time and capacity required, while meeting essential obligations. |
| Dependencies | Any reliance on staff, technology, suppliers or Tiva is understood and supported by workable arrangements. |
| Compliance | The control supports applicable requirements, with its coverage and limitations confirmed where necessary. |

## CONTROL GAPS AND REVIEW

Each risk record explains the limitations of its existing controls and identifies information needed to support the assessment. These gaps inform our tolerability decisions and the subsequent development of risk responses. We do not assume that exposure has been reduced simply because a control is described in the register.

Functional managers remain responsible for confirming how controls operate within their areas. Relevant evidence may include access records, reconciliations, staffing coverage, supplier performance and recovery-test results. Failures that threaten essential services or approved limits require prompt escalation under the Risk Protocols.

Our existing controls provide a starting point for the pandemic response. Regular review will help us identify which arrangements remain suitable, which require strengthening and where additional protection is needed.



# APPENDIX

# REGULATORY REQUIREMENTS & REFERENCE LINKS

FINTRAC — Financial Transactions and Reports Analysis Centre of Canada

FSRA — Financial Services Regulatory of Ontario

PIPEDA — Personal Information Protection and Electronic Documents Act

OSFI — Office of the Superintendent of Financial Institutions